



- **Tax-free returns:** When you withdraw your investment after 3 years, the returns are totally tax free. Yes, you save taxes on both, your initial investment and also on the returns.

Comparing various tax-saving options

Instrument Type	Lock-in period (years)	Rate of return	Tax status on returns	Maximum investment (Rs)	Potential for dividend
Public Provident Fund (PPF)	5	8%	Tax-free	Rs. 70,000	No
National Savings Certificate (NSC)	6	8%	Taxable	Rs. 1,00,000	No
Bank Fixed Deposits	5	7.25% pa	Taxable	Rs. 1,00,000	No
Equity Linked Saving Schemes (ELSS)	3	Market linked	Tax-free	Rs. 1,00,000	Yes

Data Source: For PPF: Partial withdrawals are allowed from 6th financial yr, however full amount can be withdrawn after 15 yrs, source: www.indiapost.gov.in. For NSC: source: www.indiapost.gov.in. For Bank FDs: 7.25% p.a. for 5 yrs to less than 8 yrs from State bank of India effective from 9/11/09, www.sbi.co.in.

The Financial Solution (Tax Saving Solution) stated above is ONLY for highlighting the many advantages perceived from investments in Mutual Funds but does not in any manner, indicate or imply, either the quality of any particular Scheme or guarantee any specific performance/returns. Tax deduction available u/s 80C of the Income Tax Act, 1961 is subject to conditions specified therein. Investors are requested to consult their tax advisor before investing for individual nature of tax benefits.